Net Charge to Earnings for Unallocated Items

DOLLAR AMOUNTS IN MILLIONS			AMOUNT OF CHANGE
	2025	2024	2025 vs. 2024
Unallocated corporate function and variable compensation expense	$ (166)	$ (154)	$ (12)
Liability classified share-based compensation	1	2	(1)
Foreign exchange gain	1	1	—
Elimination of intersegment profit in inventory and LIFO	11	4	7
Other, net	(72)	(120)	48
Operating loss	**(225)**	**(267)**	**42**
Non-operating pension and other post-employment benefit costs	(220)	(42)	(178)
Interest income and other	22	52	(30)
Net charge to earnings	**$ (423)**	**$ (257)**	**$ (166)**

Net charge to earnings increased by $166 million — 65 percent — primarily due to:

- a $178 million increase in non-operating pension and other post-employment benefit costs, primarily attributable to a $145 million pension settlement charge (refer to *Note 8: Pension and Other Post-Employment Benefit Plans*);
- a $30 million decrease in interest income and other, primarily attributable to a decrease in cash and cash equivalents and
- a $12 million increase in unallocated corporate function and variable compensation expense.

These changes were partially offset by a $48 million decrease in other, net, primarily attributable to a $30 million increase in insurance recoveries, as well as a $7 million increase in the benefit from elimination of intersegment profit in inventory and LIFO.

INTEREST EXPENSE

Our net interest expense incurred for the last two years was:

- $273 million in 2025 and
- $269 million in 2024.

Interest expense increased by $4 million compared to 2024 primarily due to $3 million of debt extinguishment costs incurred in conjunction with the partial redemption of our $750 million 4.75 percent senior unsecured notes due in May 2026, as well as a series of debt issuances and retirements in 2025 that increased our outstanding debt, partially offset by a decrease in our weighted average interest rate.

Refer to *Note 11: Long-Term Debt, Net* for further information.

INCOME TAXES

As a REIT, we generally are not subject to federal corporate level income taxes on REIT taxable income that is distributed to shareholders. Historical distributions to shareholders, including amounts and tax characteristics, are summarized in the table below.

AMOUNTS PER SHARE	2025	2024
Common — capital gain distribution	$ 0.84	$ 0.94

We are required to pay corporate income taxes on earnings of our TRSs, which include our Wood Products segment and portions of our Timberlands and Real Estate & ENR segments' earnings. Our provision for income taxes is primarily driven by earnings generated by our TRSs.

Our provision for income taxes the last two years was:

- $64 million benefit in 2025 and
- $31 million expense in 2024.

Income tax expense decreased by $95 million compared to 2024, resulting in a net benefit position, primarily due to a significant decrease in our TRS earnings in 2025 and the effect of a $34 million tax benefit related to the noncash pretax settlement charge recorded in connection with our U.S. pension plan, as well as a decrease in our effective tax rate.

Refer to *Note 8: Pension and Other Post-Employment Benefit Plans* and *Note 18: Income Taxes* for further information.

LIQUIDITY AND CAPITAL RESOURCES

We are committed to maintaining an appropriate capital structure that provides financial flexibility and enables us to protect the interests of our shareholders and meet our obligations to our lenders, while also maintaining access to all major financial markets. As of December 31, 2025, we had $464 million in cash and cash equivalents, $1.75 billion of availability on our line of credit, which expires in June 2030, and $1.75 billion of availability on our commercial paper program. We believe we have sufficient liquidity to meet our cash requirements for the foreseeable future.

CASH FROM OPERATIONS

Consolidated net cash from operations was:

- $562 million in 2025 and
- $1,008 million in 2024.

COMPARING 2025 WITH 2024

Net cash from operations decreased by $446 million, primarily due to decreased cash inflows from our business operations, as well as a $201 million increase in pension and post-employment benefit contributions and payments, as discussed below. Refer to *Note 8: Pension and Other Post-Employment Benefit Plans* for further information.

Pension Contributions and Benefit Payments Made and Expected

During 2025, we contributed a total of $219 million to our pension and post-employment benefit plans, including a $200 million voluntary contribution to our U.S. qualified pension plan, compared to a total of $18 million during 2024.

For 2026, we expect to contribute approximately $20 million to our pension and post-employment benefit plans. Refer to *Note 8: Pension and Other Post-Employment Benefit Plans* for further information.

INVESTING IN OUR BUSINESS

Cash from investing activities includes items such as:

- capital expenditures for property, equipment and reforestation,
- acquisitions and divestitures of timberlands,
- proceeds from sales of assets and operations and
- purchases and maturities of short-term investments.

Consolidated net cash from investing activities was:

- $(475) million in 2025 and
- $(636) million in 2024.

COMPARING 2025 WITH 2024

Net cash from investing activities increased by $161 million, primarily due to a $405 million increase in proceeds from the sale of timberlands and a $61 million increase in proceeds from the sale of our Princeton lumber mill, partially offset by a $218 million increase in cash spent on the acquisition of timberlands and a $59 million increase in capital expenditures for property and equipment.

Summary of Capital Spending by Business Segment

DOLLAR AMOUNTS IN MILLIONS	2025	2024
Timberlands	$ 120	$ 105
Wood Products	353	294
Unallocated Items	1	17
Total	**$ 474**	**$ 416**

During fourth quarter 2024, we announced our plan to invest approximately $500 million to build a new TimberStrand® facility in Monticello, Arkansas. This capital outlay may be sourced from cash on hand or through future financing, as deemed appropriate. Construction began in 2025, with the goal of starting operations in 2027. Once completed, the new facility will increase our engineered wood products capacity by approximately 10 million cubic feet. In 2025, we had $109 million in capital expenditures related to the construction of this facility.

We expect our capital expenditures for 2026 to be approximately $400-$450 million, excluding approximately $300 million of investment in our Monticello engineered wood products facility. We exclude this investment for purposes of calculating our annual Adjusted Funds Available for Distribution (Adjusted FAD), as used in our flexible cash return framework. The amount we spend on capital expenditures could change due to:

- future economic conditions,
- environmental regulations,
- changes in the composition of our business,
- weather,
- timing of equipment purchases and
- capital needs related to other business opportunities.

FINANCING

Cash from financing activities includes items such as:

- issuances and payments of debt and
- payments for cash dividends and repurchasing stock.

Consolidated net cash from financing activities was:

- $(290) million in 2025 and
- $(852) million in 2024.

COMPARING 2025 WITH 2024

Net cash from financing activities increased by $562 million, primarily due to a $1,199 million increase in net proceeds from issuance of long-term debt and a $78 million decrease in cash paid for dividends, partially offset by a $712 million increase in payments on long-term debt.

LONG-TERM DEBT

Our consolidated long-term debt (including current portion) was:

- $5,572 million as of December 31, 2025 and
- $5,076 million as of December 31, 2024.

The $496 million increase in our long-term debt during 2025 is primarily attributable to:

- the August 2025 issuance of an $800 million senior unsecured term loan;

- the March 2025 issuance of a $300 million senior unsecured term loan and
- the November 2025 loan of $102 million related to resource recovery revenue bonds.

These issuances were partially offset by:

- the August 2025 partial repayment of approximately $500 million of our $750 million 4.75 percent senior unsecured notes;
- the January 2025 repayment of our $139 million 8.50 percent debentures and
- the March 2025 repayment of our $71 million 7.95 percent debentures.

The weighted average interest rate and the weighted average maturity on our long-term debt as of December 31, 2025 were 5.11 percent and 6.5 years, respectively.

See *Note 11: Long-Term Debt, Net* for more information.

LINE OF CREDIT

In June 2025, we amended and restated our senior unsecured revolving credit facility to extend the expiration date to June 2030, while increasing borrowing capacity from $1.5 billion to $1.75 billion. Borrowings will bear interest at a floating rate based on either the adjusted term Secured Overnight Financing Rate (SOFR) plus a spread or a mutually agreed-upon base rate plus a spread. As of December 31, 2025 and 2024, we had no outstanding borrowings on the revolving credit facility.

Refer to *Note 10: Line of Credit and Commercial Paper Program* for further information.

COMMERCIAL PAPER PROGRAM

In November 2025, we established a commercial paper program under which we may issue short-term, unsecured commercial paper notes pursuant to the exemption from registration contained in Section 4(a)(2) of the Securities Act of 1933, as amended. Under this program, we may issue notes from time to time in an aggregate amount not to exceed $1.75 billion outstanding at any time. The notes will have maturities of up to 397 days from the date of issue and will not be subject to voluntary prepayment or redemption prior to maturity. We use our revolving credit facility as a liquidity backstop for the repayment of short-term unsecured notes issued under the commercial paper program. There were no notes outstanding under this program as of December 31, 2025.

Refer to *Note 10: Line of Credit and Commercial Paper Program* for further information.

OUR COVENANTS

Our key covenants include the requirement to maintain:

- a minimum total adjusted shareholders' equity of $3.0 billion and
- a defined debt-to-total-capital ratio of 65 percent or less.

Our total adjusted shareholders' equity is comprised of:

- total shareholders' equity,
- excluding accumulated other comprehensive loss,
- minus our investment in our unrestricted subsidiaries.

Our capitalization is comprised of:

- total debt,
- plus total adjusted shareholders' equity.

As of December 31, 2025, we had:

- total adjusted shareholders' equity of $9.7 billion and
- a defined debt-to-total-capital ratio of 36.4 percent.

When calculating compliance in accordance with financial debt covenants as of December 31, 2025 and December 31, 2024, we excluded the full amount of accumulated other comprehensive loss of $293 million and $402 million, respectively. See *Note 14: Shareholders' Interest* for further information on accumulated other comprehensive loss.

There are no other significant financial debt covenants related to our third-party debt.

INTEREST RATE SWAP HEDGING RELATIONSHIP

During third quarter 2025, we entered into interest rate swaps with the risk management objective of managing exposure to interest rate volatility by converting variable rate debt obligations associated with our new $800 million term loan into fixed rate payments. The interest rate swaps provide the right to make fixed rate payments to the counterparty in exchange for variable, SOFR-based payments on a monthly settlement schedule. As of December 31, 2025, our interest rate swap agreements with an aggregate notional amount of $800 million were designated as cash flow hedging instruments of variable, SOFR-based interest payments on our $800 million term loan. No comparable activity was present for the year ended December 31, 2024.

Refer to *Note 12: Fair Value of Financial Instruments* for further information.

CREDIT RATINGS

As of December 31, 2025, our long-term issuer credit rating was BBB and Baa2 from S&P and Moody's, respectively.

DIVIDENDS

We paid cash dividends on common shares of:

- $606 million in 2025 and
- $684 million in 2024.

The decrease in dividends paid is primarily due to a supplemental dividend of $0.14 per share based on 2023 financial results for a total of $102 million paid in first quarter 2024.

Under our cash return framework, we plan to supplement our base dividend with an additional return of variable cash, as appropriate, in the form of share repurchase and/or a supplemental cash dividend to achieve our targeted total return to shareholders of 75 to 80 percent of annual Adjusted Funds Available for Distribution (Adjusted FAD). For further information on Adjusted FAD see *Performance and Liquidity Measures*.

SHARE REPURCHASES

During second quarter 2025, we completed the $1 billion purchase authorization under the share repurchase program approved by the board in September 2021 (the 2021 Repurchase Program). On May 8, 2025, we announced the board approved a new share repurchase program (the 2025 Repurchase Program) under which we are authorized to repurchase up to $1 billion of outstanding shares. Concurrently, the board terminated the completed purchase authorization under the 2021 Repurchase Program.

We repurchased 6.1 million common shares for approximately $160 million (including transaction fees) during the year ended December 31, 2025. We repurchased 4.9 million common shares for approximately $153 million (including transaction fees) in 2024. As of December 31, 2025, we had remaining authorization of $938 million for future share repurchases. For further information on share repurchases see *Note 14: Shareholders' Interest*.

OUR CONTRACTUAL OBLIGATIONS AND COMMERCIAL COMMITMENTS

More details about our contractual obligations and commercial commitments are in *Note 8: Pension and Other Post-Employment Benefit Plans, Note 10: Line of Credit and Commercial Paper Program, Note 11: Long-Term Debt, Net, Note 12: Fair Value of Financial Instruments, Note 13: Legal Proceedings, Commitments and Contingencies, Note 16: Leases* and *Note 18: Income Taxes*.

Significant Contractual Obligations as of December 31, 2025

Significant contractual obligations as of December 31, 2025 include our long-term debt obligations and lease obligations. Refer to *Note 11: Long-Term Debt, Net*, *Note 12: Fair Value of Financial Instruments* and *Note 16: Leases* for further information. Additional significant contractual obligations are included below.

DOLLAR AMOUNTS IN MILLIONS					
		PAYMENTS DUE BY PERIOD			
	TOTAL	LESS THAN 1 YEAR	1–3 YEARS	3–5 YEARS	MORE THAN 5 YEARS
Interest(1)	$ 1,751	$ 274	$ 474	$ 309	$ 694
Purchase obligations(2)	$ 346	$ 166	$ 132	$ 15	$ 33
Employee-related obligations(3)	$ 263	$ 125	$ 19	$ 17	$ 34

(1) Amounts presented for interest payments assume that all long-term debt obligations outstanding as of December 31, 2025 will remain outstanding until maturity. Interest payments related to our $800 million term loan due in 2028 are treated as fixed due to the impact of the related interest rate swap.
(2) Purchase obligations include agreements to purchase goods or services that are enforceable and legally binding on the company and that specify all significant terms, including: fixed or minimum quantities to be purchased; fixed, minimum or variable price provisions and the approximate timing of the transaction. Purchase obligations exclude arrangements that the company can cancel without penalty.
(3) The timing of certain payments within this category will be triggered by retirements or other events. These payments can include workers compensation, deferred compensation and banked vacation, among other obligations. When the timing of payment is uncertain, the amounts are included in the total column only. Minimum pension funding is required by established funding standards and estimates are not made for 2027 onward. Estimated payments of contractually obligated post-employment benefits are not included due to the uncertainty of payment timing.

OFF-BALANCE SHEET ARRANGEMENTS

Off-balance sheet arrangements have not had — and are not reasonably likely to have — a material effect on our current or future financial condition, results of operations or cash flows. *Note 10: Line of Credit and Commercial Paper Program* contains our disclosures of surety bonds and letters of credit.

ENVIRONMENTAL MATTERS, LEGAL PROCEEDINGS AND OTHER CONTINGENCIES

See *Note 13: Legal Proceedings, Commitments and Contingencies.*

ACCOUNTING MATTERS

CRITICAL ACCOUNTING ESTIMATES

In the preparation of our financial statements we follow established accounting policies and make estimates that affect both the amounts and timing of the recording of assets, liabilities, revenues and expenses. We base our judgments and estimates on historical experience and assumptions we believe are appropriate and reasonable under current circumstances. Actual results, however, could differ materially from the estimated amounts we have recorded. Some of these estimates require judgments about matters that are inherently uncertain. Accounting policies whose application involve a significant level of estimation uncertainty and may have a material effect on our results of operations or financial condition are considered critical accounting estimates.

DISCOUNT RATES FOR PENSION AND POST-EMPLOYMENT BENEFIT PLANS

Discount rates are used to estimate the net present value of our pension and other post-employment plan obligations. These rates are determined at the measurement date by matching current spot rates of high-quality corporate bonds with maturities similar to the timing of expected cash outflows for benefits. The selection of discount rates requires judgment as well as the involvement of actuarial specialists. These specialists assist with selecting yield curves based on published indices for high-quality corporate bonds and projecting the timing and amount of cash flows associated with our obligations to ultimately support our determination of an appropriate discount rate for each plan.

Our discount rates as of December 31, 2025 are:

- 5.3 percent for our U.S. pension plans — compared with 5.7 percent at December 31, 2024;
- 5.0 percent for our U.S. post-employment benefit plans — compared with 5.5 percent at December 31, 2024;
- 4.9 percent for our Canadian pension plans — compared with 4.7 percent at December 31, 2024 and
- 4.6 percent for our Canadian post-employment benefit plans — compared with 4.5 percent at December 31, 2024.

Pension expenses for 2026 will be based on the 5.3 percent and 4.9 percent assumed discount rates for the U.S. pension plans and the Canadian pension plans, respectively, and the 5.0 percent and 4.6 percent assumed discount rates for the U.S. and Canadian post-employment benefit plans, respectively.

Our discount rates are important in determining the cost of our plans. A 50 basis point decrease in our discount rate would increase expense or reduce a credit by approximately:

- $8 million for our U.S. qualified pension plans and
- $2 million for our Canadian registered pension plans.

Details about our other significant accounting policies are in *Note 1: Summary of Significant Accounting Policies*.

PROSPECTIVE ACCOUNTING PRONOUNCEMENTS

A summary of prospective accounting pronouncements is in *Note 1: Summary of Significant Accounting Policies.*

PERFORMANCE AND LIQUIDITY MEASURES

We use Adjusted EBITDA as a key performance measure to evaluate the performance of the consolidated company and our business segments. This measure should not be considered in isolation from, and is not intended to represent an alternative to, our results reported in accordance with U.S. generally accepted accounting principles (U.S. GAAP). However, we believe Adjusted EBITDA provides meaningful supplemental information for our investors about our operating performance, better facilitates period to period comparisons and is widely used by analysts, lenders, rating agencies and other interested parties. Our definition of Adjusted EBITDA may be different from similarly titled measures reported by other companies. Adjusted EBITDA, as we define it, is operating income adjusted for depreciation, depletion, amortization, basis of real estate sold and special items.

Adjusted EBITDA by Segment

DOLLAR AMOUNTS IN MILLIONS	2025	2024
Timberlands	$ 581	$ 539
Real Estate & ENR	411	349
Wood Products	250	661
Unallocated Items	(221)	(257)
Total	**$ 1,021**	**$ 1,292**

We reconcile Adjusted EBITDA to net earnings for the consolidated company and to operating income (loss) for the business segments, as those are the most directly comparable U.S. GAAP measures for each.

The table below reconciles Adjusted EBITDA by segment to net earnings for the year ended December 31, 2025:

DOLLAR AMOUNTS IN MILLIONS	TIMBERLANDS	REAL ESTATE & ENR	WOOD PRODUCTS	UNALLOCATED ITEMS	TOTAL
Net earnings					$ 324
Interest expense, net of capitalized interest					273
Income taxes					(64)
Net contribution (charge) to earnings	**$ 586**	**$ 315**	**$ 55**	**$ (423)**	**$ 533**
Non-operating pension and other post-employment benefit costs[1]	—	—	—	220	220
Interest income and other	—	—	—	(22)	(22)
Operating income (loss)	**586**	**315**	**55**	**(225)**	**731**
Depreciation, depletion and amortization	261	12	224	12	509
Basis of real estate sold	—	84	—	—	84
Special items included in operating income (loss)[2][3][4]	(266)	—	(29)	(8)	(303)
Adjusted EBITDA	**$ 581**	**$ 411**	**$ 250**	**$ (221)**	**$ 1,021**

(1) Non-operating pension and other post-employment benefit costs includes a pretax special item consisting of a $145 million noncash settlement charge related to the transfer of pension plan assets and liabilities to an insurance company through the purchase of a group annuity contract.
(2) Operating income (loss) for Timberlands includes pretax special items consisting of a $117 million gain on the sale of Georgia and Alabama timberlands and a $149 million gain on the sale of Oregon timberlands.
(3) Operating income (loss) for Wood Products includes a pretax special item consisting of a $29 million gain on the sale of our Princeton lumber mill.
(4) Operating income (loss) for Unallocated Items includes pretax special items consisting of an $18 million noncash environmental remediation charge and a $26 million insurance recovery.

The table below reconciles Adjusted EBITDA by segment to net earnings for the year ended December 31, 2024:

DOLLAR AMOUNTS IN MILLIONS	TIMBERLANDS	REAL ESTATE & ENR	WOOD PRODUCTS	UNALLOCATED ITEMS	TOTAL
Net earnings					$ 396
Interest expense, net of capitalized interest					269
Income taxes					31
Net contribution (charge) to earnings	**$ 280**	**$ 216**	**$ 457**	**$ (257)**	**$ 696**
Non-operating pension and other post-employment benefit costs	—	—	—	42	42
Interest income and other	(1)	—	—	(52)	(53)
Operating income (loss)	**279**	**216**	**457**	**(267)**	**685**
Depreciation, depletion and amortization	260	13	219	10	502
Basis of real estate sold	—	120	—	—	120
Special items included in operating income (loss)[1]	—	—	(15)	—	(15)
Adjusted EBITDA	**$ 539**	**$ 349**	**$ 661**	**$ (257)**	**$ 1,292**

(1) Operating income (loss) for Wood Products includes pretax special items consisting of a $25 million product remediation recovery and a $10 million noncash impairment charge related to the indefinite curtailment of our New Bern lumber mill.

Net Earnings and Net Earnings per Diluted Share Before Special Items (Income Tax Affected)

We reconcile net earnings before special items to net earnings and net earnings per diluted share before special items to net earnings per diluted share, as those are the most directly comparable U.S. GAAP measures. We believe the measures provide meaningful supplemental information for investors about our operating performance, better facilitate period to period comparisons, and are widely used by analysts, lenders, rating agencies and other interested parties.

The table below reconciles net earnings before special items to net earnings:

DOLLAR AMOUNTS IN MILLIONS	2025	2024
Net earnings	**$ 324**	**$ 396**
Environmental remediation charge	14	—
Gain on sale of lumber mill	(21)	—
Gain on sale of timberlands	(266)	—
Insurance recovery	(19)	—
Pension settlement charge	111	—
Product remediation recovery	—	(19)
Restructuring, impairments and other charges	—	7
Net earnings before special items	**$ 143**	**$ 384**

The table below reconciles net earnings per diluted share before special items to net earnings per diluted share:

AMOUNTS PER SHARE	2025	2024
Net earnings per diluted share	**$ 0.45**	**$ 0.54**
Environmental remediation charge	0.02	—
Gain on sale of lumber mill	(0.03)	—
Gain on sale of timberlands	(0.36)	—
Insurance recovery	(0.03)	—
Pension settlement charge	0.15	—
Product remediation recovery	—	(0.02)
Restructuring, impairments and other charges	—	0.01
Net earnings per diluted share before special items	**$ 0.20**	**$ 0.53**

Adjusted FAD

We use Adjusted Funds Available for Distribution (Adjusted FAD) to evaluate the company's liquidity and measure cash generated during the period (net of capital expenditures and significant nonrecurring items) that is available for dividends, repurchases of common shares, debt reduction, acquisitions, and other discretionary and nondiscretionary capital allocation activities. Adjusted FAD should not be considered in isolation from, and is not intended to represent an alternative to, results reported in accordance with U.S. GAAP. However, we believe the measure provides meaningful supplemental information for our investors about our liquidity. Adjusted FAD, as we define it, is net cash from operations adjusted for capital expenditures and significant non-recurring items. Our definition of Adjusted FAD may be different from similarly titled measures reported by other companies, including those in our industry. We reconcile Adjusted FAD to net cash from operations, as that is the most directly comparable U.S. GAAP measure.

The table below reconciles Adjusted FAD to net cash from operations:

DOLLAR AMOUNTS IN MILLIONS	2025	2024
Net cash from operations	**$ 562**	**$ 1,008**
Capital expenditures	(474)	(416)
FAD	**$ 88**	**$ 592**
Cash from product remediation recovery	—	(25)
Cash contribution to our U.S. qualified pension plan	200	—
Monticello engineered wood products facility capital expenditures	109	—
Adjusted FAD	**$ 397**	**$ 567**
Net cash from investing activities	**$ (475)**	**$ (636)**
Net cash from financing activities	**$ (290)**	**$ (852)**

QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

LONG-TERM DEBT OBLIGATIONS

The following summary of our long-term debt obligations includes:

- scheduled principal repayments for the next five years and after;
- weighted average interest rates for debt maturing in each of the next five years and after and
- estimated fair values of outstanding obligations.

We estimate the fair value of long-term debt based on quoted market prices we receive for the same types and issues of our debt or on the discounted value of the future cash flows using market yields for the same type and comparable issues of debt. Changes in market rates of interest affect the fair value of our fixed-rate debt.

SUMMARY OF LONG-TERM DEBT OBLIGATIONS AS OF DECEMBER 31, 2025

DOLLAR AMOUNTS IN MILLIONS	2026	2027	2028	2029	2030	THEREAFTER	TOTAL(1)	FAIR VALUE
Fixed-rate debt	$ 522	$ 300	$ —	$ 750	$ 750	$ 1,935	$ 4,257	$ 4,242
Weighted average interest rate	6.26%	6.95%	—%	4.00%	4.00%	5.40%	5.12%	N/A
Variable-rate debt(2)	$ —	$ —	$ 1,050	$ —	$ 300	$ —	$ 1,350	$ 1,350

(1) Excludes $35 million of unamortized discounts and capitalized debt expense.
(2) As of December 31, 2025, the weighted average interest rate for our variable-rate debt was 5.05%, excluding estimated patronage refunds and the impact of interest rate swaps.

In 2025, we entered into interest rate swaps with the risk management objective of managing exposure to interest rate volatility by converting variable rate debt obligations associated with our new $800 million term loan into fixed rate payments. The interest rate swaps provide the right to make fixed rate payments to the counterparty in exchange for variable, SOFR-based payments on a monthly settlement schedule. As of December 31, 2025, our interest rate swap agreements with an aggregate notional amount of $800 million were designated as cash flow hedging instruments of variable, SOFR-based interest payments on our $800 million term loan. No comparable activity was present as of and for the year ended December 31, 2024.